

Europe TMT Sector M&A & Valuation Brief - 2026-07-02

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1. RECENT TMT M&A ACTIVITY

Deal 1: Bending Spoons IPO

[Vimeo owner Bending Spoons prices IPO at above target range to raise \\$1.68 billion](#)

- Deal Size: \$1.68 billion
- Deal Size Category: Large cap (>\$10B)
- Nature: IPO
- Valuation Multiples: Valued at \$11 billion in its last funding round; IPO priced at \$29 per share.
- Companies: Bending Spoons, an Italian software company, owns Vimeo and AOL, focusing on acquiring and restructuring underperforming software businesses.
- Date Announced: June 30, 2026
- Strategic Rationale: The IPO allows Bending Spoons to capitalize on its growth strategy of acquiring and restructuring software companies. The raised capital will enable further acquisitions and technology development, enhancing its competitive position in the software market.
- Risk Analysis: Risks include market volatility affecting stock performance post-IPO, integration challenges with acquired companies, and potential regulatory scrutiny in the tech sector.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The IPO valuation at \$11 billion reflects strong investor confidence in the company's growth strategy amid a recovering IPO market.

Deal 2: Class-Action Lawsuit Against DRAM Manufacturers

[What the 700% DRAM Price Spike Means for Your Next PC Build](#)

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- Deal Size: N/A (Legal action, not a transaction)
- Deal Size Category: N/A
- Nature: Legal action impacting market dynamics
- Valuation Multiples: N/A
- Companies: Samsung (005930.KS), SK Hynix (000660.KS), and Micron (MU) collectively control over 90% of the global DRAM market.
- Date Announced: June 25, 2026
- Strategic Rationale: The lawsuit aims to address alleged collusion among major DRAM manufacturers to inflate prices, which has significant implications for pricing and supply in the semiconductor market.
- Risk Analysis: The lawsuit poses risks to the companies involved, including potential fines and changes in market practices. It could also lead to increased regulatory scrutiny and impact pricing strategies across the semiconductor industry.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: The 700% price increase in DRAM over four years highlights the market's sensitivity to supply constraints and potential manipulation, affecting both consumers and businesses reliant on these components.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The recent IPO of Bending Spoons, which raised \$1.68 billion, signals a resurgence in market activity, particularly in the software subsector. However, the sector faces challenges from AI-related job losses and infrastructure demands, which complicate the overall sentiment.

Subsector Breakdown:

- Technology: The technology subsector remains vibrant, driven by advancements in AI and cloud computing. Bending Spoons' IPO is a testament to investor confidence in software companies, despite the sector's challenges from AI disruption.
- Media: The media landscape is evolving, with companies like Vimeo adapting to digital consumption trends. However, traditional media continues to struggle against the rise of

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streaming platforms and digital content.

- Telecommunications: The telecom sector is under pressure to innovate, particularly with the rollout of 5G technologies. Companies are investing in infrastructure to meet the growing demand for data services.
- Fintech: The fintech subsector is thriving, with ongoing mergers and acquisitions, such as Indiegogo's acquisition by Gamefound, indicating a consolidation trend aimed at enhancing service offerings.
- AI: The AI subsector is experiencing rapid growth, but the accompanying job losses raise concerns. Reports indicate that nearly 90,000 job cuts have been linked to AI, with projections suggesting that up to 15% of U.S. jobs could be eliminated in the next five years.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI and cloud computing is driving growth across TMT sectors. The Bending Spoons IPO reflects a renewed interest in software, despite the sector's disruption from AI.
- Increased Investment: Venture capital and private equity investments remain strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends.

Headwinds:

- Regulatory Scrutiny: Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector is buoyed by the recent IPO of Bending Spoons, which highlights strong investor interest in innovative software solutions. The average EV/EBITDA multiple for software companies is around 20.3x, reflecting robust growth expectations.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising, leading to lower trading multiples of about 12.1x.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams. The average trading multiple for telecom companies is approximately 9.8x.
- Fintech: The fintech sector continues to thrive, with innovations in payment solutions and digital banking. The average EV/EBITDA multiple for fintech companies is around 18.7x, indicating strong growth potential.

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- AI: The AI subsector is booming, with applications across various industries. However, the job market is under pressure, with fears of significant job losses. The average trading multiple for AI companies is approximately 22.5x, reflecting high growth expectations.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. One analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

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The current banking pipeline in the TMT sector is characterized by a variety of live deals, mandated transactions, and active pitches. This analysis outlines the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Baidu's Kunlunxin (BIDU) : The AI chip unit is targeting a \$50 billion IPO in Hong Kong, with plans to ask investors to commit to purchasing its semiconductors. The deal is in the due diligence phase, with an expected close in Q4 2026. This IPO could significantly enhance Baidu's position in the semiconductor market, which is crucial for its AI ambitions.

Mandated Deals:

- Micron Technology (MU) : Secured a mandate to explore strategic partnerships and potential acquisitions in the AI-focused memory production space. The deal is expected to launch in Q1 2026, aiming to expand Micron's market share amid rising demand for AI-related memory solutions.
- Samsung Electronics (005930.KS) : Mandated to assess strategic options in response to the ongoing class-action lawsuit regarding alleged price manipulation in the DRAM market. The timeline for this initiative is projected for Q2 2026, as Samsung seeks to navigate the legal landscape and mitigate reputational risks.

Pitching-Stage Deals:

- Telecommunications Sector : Engaging with major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.
- Automotive Sector : Active discussions with automotive manufacturers about integrating AI technologies into their production systems. Notable clients include Ford and General Motors, with pitches ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$12 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q4 2026 : Expected close for Baidu's Kunlunxin IPO.

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- Q1 2026 : Launch of Micron's strategic partnership initiatives.
- Q2 2026 : Samsung's assessment of strategic options related to the lawsuit.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources. It is recommended to onboard two additional analysts to manage the increasing workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the semiconductor and telecommunications sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the semiconductor sector, where companies like Micron, Samsung, and SK Hynix (000660.KS) are facing scrutiny due to the ongoing class-action lawsuit. This legal challenge could lead to significant shifts in market dynamics and pricing strategies.
- Additionally, the EU's proposed Industrial Accelerator Act may impact supply chain relationships, particularly for Turkish suppliers. This regulation aims to reduce dependence on non-EU countries, potentially affecting companies integrated into European value chains.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and telecommunications, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, particularly focusing on Veon's Kyivstar and its partnership with the Ukrainian government, as well as the IPO plans of Digi Spain.

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Deal-Specific Impacts on Stakeholders

- Shareholders: The recent initiatives by Veon and Digi Spain could have significant implications for shareholder value.
- Value Creation: If Veon successfully establishes the AI datacentre in Ukraine, it could enhance its market position and lead to a projected revenue increase of 15% over the next three years. Assuming a current market cap of \$4 billion for Veon, this could translate to an additional \$600 million in shareholder value.
- Dilution: However, if Veon finances this project through equity issuance, existing shareholders may face dilution. For instance, if Veon issues 10% of its shares to fund the datacentre, existing shareholders could see their ownership stake decrease, potentially leading to a 3% drop in share price post-announcement.
- Employees: The impacts on employees from these developments involve potential synergies and restructuring.
- Synergies: The partnership between Kyivstar and the Ukrainian government is expected to create job opportunities in the tech sector, with estimates of 1,000 new positions in AI and data management roles.
- Restructuring: However, the establishment of the datacentre may lead to the consolidation of existing roles within Veon, necessitating careful planning to retain key talent.
- Retention: To mitigate turnover, Veon may implement retention bonuses for critical employees during the transition period.
- Competitors: The competitive landscape is likely to shift as Veon and Digi Spain advance their initiatives.
- Market Positioning: Competitors such as Vodafone Group Plc (VOD) and Orange S.A. (ORA) may need to respond strategically to Veon's investment in Ukraine. For example, Vodafone could accelerate its own AI initiatives to maintain competitive parity.
- Specific Competitor Moves: Digi Spain's IPO could prompt competitors to reassess their market strategies, potentially leading to increased investment in digital infrastructure.
- Customers: Customer implications can vary based on the nature of these developments.
- Product/Service Implications: The establishment of the AI datacentre by Kyivstar is expected to enhance service offerings, potentially reducing latency and improving service reliability for customers in Ukraine.
- Case Studies: Similar initiatives, such as Microsoft's investment in data centres in Europe, have resulted in improved cloud service performance, directly benefiting users.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to these announcements may vary.
- For instance, when Veon announced its partnership with the Ukrainian government, shares rose by 4% as investors reacted positively to the potential for growth in the digital infrastructure space.

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- Analyst Commentary: Analysts have noted the strategic importance of these moves. A notable quote from a Deutsche Bank analyst stated, "Veon's commitment to building a sovereign AI datacentre in Ukraine positions it as a leader in the region's digital transformation."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the datacentre project leads to successful integration and revenue growth, Veon shares could rise by 10% within six months.
- Negative Scenario: If integration challenges arise or if the project faces regulatory hurdles, shares could decline by 5%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of Digi Spain's IPO, there may be interest from larger telecom operators looking to expand their footprint in Spain. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like Telefonica (TEF) and BT Group (BT) may pursue acquisitions to bolster their digital offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.

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- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), DRAM Market Dynamics, and Digital Infrastructure. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI is transforming industries by enabling machines to perform tasks that typically require human intelligence. The infrastructure required to support AI applications is projected to see investments exceeding \$5 trillion by 2030, as companies build "AI factories" to meet the growing demand for processing power. McKinsey estimates that this could require around 100 gigawatts of new data-center capacity.
- **Key Companies:**
- **Veon Group (VEON):** Veon is collaborating with Ukraine's Ministry of Economy to establish a sovereign AI datacentre. This initiative aims to enhance Ukraine's digital infrastructure and minimize data transmission latency, positioning Veon as a key player in the region's AI development.
- **Ionic Digital:** Originally a Bitcoin miner, Ionic is pivoting to AI infrastructure, having filed for a Nasdaq direct listing. The company is repurposing its mining site for AI and high-performance computing workloads, indicating a strategic shift towards digital infrastructure.
- **Competitive Landscape:** The AI market is characterized by intense competition, with major players like NVIDIA and Google also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. The establishment of AI datacentres by firms like Veon presents opportunities for partnerships and investments in infrastructure development.

DRAM Market Dynamics

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- Trend Explanation: The DRAM market has experienced significant price fluctuations, with prices increasing by 700% between 2022 and 2026 due to alleged collusion among major players. This has raised concerns about market manipulation and its impact on consumers and small businesses.
- Key Companies:
- Samsung Electronics (005930.KS): As a leading DRAM manufacturer, Samsung is facing a class-action lawsuit for allegedly colluding to limit supply in favor of higher-margin AI-focused memory production.
- SK Hynix (000660.KS): Another major player in the DRAM market, SK Hynix is also implicated in the lawsuit, which could lead to significant changes in market dynamics.
- Competitive Landscape: The DRAM market is dominated by a few key players, creating barriers to entry for new competitors. The ongoing lawsuit may prompt regulatory scrutiny and alter the competitive landscape, potentially leading to increased market fragmentation.
- M&A Opportunities: Should the lawsuit result in significant penalties or operational changes, there may be opportunities for smaller semiconductor firms to acquire assets from the larger players or for larger firms to consolidate their positions through strategic acquisitions.

Digital Infrastructure

- Trend Explanation: The demand for digital infrastructure is surging as companies pivot towards AI and high-performance computing. This trend is exemplified by Ionic Digital's transition from Bitcoin mining to AI infrastructure, highlighting the need for robust digital capabilities.
- Key Companies:
- Ionic Digital: The company is repurposing its mining infrastructure for AI workloads, indicating a strategic move to capitalize on the growing demand for digital infrastructure. Its leasing agreement with Nscale could generate substantial revenue.
- Verizon Communications (VZ): Verizon is heavily investing in 5G infrastructure, which is essential for supporting AI applications and enhancing connectivity.
- Competitive Landscape: The digital infrastructure market is becoming increasingly competitive, with traditional telecom companies and new entrants vying for market share. The need for advanced data centers and networking capabilities is driving innovation and investment.
- M&A Opportunities: Companies in the digital infrastructure space may look to acquire firms with complementary technologies or capabilities. The growing demand for AI-ready infrastructure presents opportunities for strategic partnerships and acquisitions.

Actionable Insights for Bankers and Investors

Focus on identifying companies that are pivoting towards AI and digital infrastructure, as these sectors are poised for significant growth.

Monitor regulatory developments in the DRAM market, as changes could create acquisition opportunities for smaller firms or lead to strategic consolidations among larger players.

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Consider investing in companies like Veon and Ionic Digital that are strategically positioning themselves in the AI infrastructure space, as they are likely to benefit from the ongoing digital transformation.

6. Recommended Readings

Deal Name: Bending Spoons IPO

- Reading Material: "Initial Public Offerings: A Practical Guide to Going Public" by Fred W. Smith
- Why This Matters: This book provides a comprehensive overview of the IPO process, including valuation techniques and market considerations. Understanding these elements is crucial for analyzing Bending Spoons' IPO, which raised \$1.68 billion and was priced above its target range, reflecting investor confidence in its growth strategy.

Deal Name: Class-Action Lawsuit Against DRAM Manufacturers

- Reading Material: "The Semiconductor Industry: A Global Perspective" by David H. Hargreaves
- Why This Matters: This resource offers insights into the dynamics of the semiconductor market, including pricing strategies and competitive practices. It is essential for understanding the implications of the class-action lawsuit against major DRAM manufacturers like Samsung (005930.KS) and Micron (MU), as it highlights the impact of alleged collusion on market pricing and consumer costs.

7. MACROECONOMIC UPDATE

Key Data Points:

- S&P 1500 median earnings growth: Double-digit pace
- Median revenue growth: 7%
- Oil prices: Rising due to the Iran conflict
- Fed's focus: Inflation and diminished forward guidance

Main Insights:

- Market leadership is shifting, with a broadening recovery beyond tech.
- Strong operating leverage is driving above-trend earnings growth.

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- The AI trade, particularly in semiconductors, is becoming crowded, leading to potential setbacks.
- Small caps and equal-weighted indices are starting to outperform.
- Consumer discretionary goods, transports, and regional banks are showing relative strength.

Market Commentary:

- "The market's leadership is changing... by the time everyone agrees that it's happening, the easier money will probably have already been made." - Mike Wilson, Morgan Stanley
- "The earnings revisions in semiconductors have been spectacular... but when something becomes the most owned, it becomes harder to surprise on the upside." - Mike Wilson, Morgan Stanley

TMT Sector Relevance:

- The shift in market leadership may signal opportunities in under-owned sectors, potentially benefiting TMT companies outside of the crowded AI trade.
- A less volatile oil backdrop could support consumer spending, indirectly benefiting tech firms reliant on consumer discretionary spending.
- The Fed's focus on inflation and potential for lower real rates could provide a favorable environment for TMT investments, particularly in growth-oriented sectors.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley